on all fronts—others believe it is a 'K'-shaped one. Among them is Garg, who believes the recovery is K-shaped in terms of household incomes. "The rich are getting richer, while the poor are seeing their incomes drop," he says. Avoiding a definitive statement, D.K. Srivastava, chief policy advisor, EY India, ventures: "Could be a K-shaped recovery, but we need more evidence." A Mumbai-based economist with a global bank is convinced it's a K-shaped recovery, even if the government is unwilling to acknowledge it because it wants to portray that inequality hasn't worsened. "Since we don't have inequality data in India, everyone is looking at proxy indicators," he adds.

But what exactly is a K-shaped recovery? It takes place when different sections of the economy experience different rates of recovery after a downturn. The parts that recover faster are represented by the upper arm of the 'K'; those that lag behind represent the lower arm. "Typically," says Garg, "asset prices and corporate incomes rise in a K-shaped recovery, while consumption among the lower 50 per cent reduces."

To be sure, India's recovery looks much better than in many other parts of the world that are staring at a recession. The country recently became the world's fifth-largest economy, surpassing the UK, though Garg cautions: "There is no comparison from a growth perspective. They (the UK) are a $50,000 per capita income economy. We are at $2,000 per capita. We should look at these developments with sobriety."

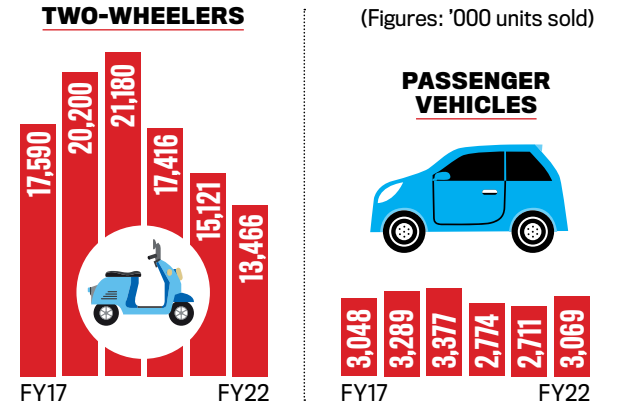
India Inc. is also expanding—Gautam Adani, chairman of the Adani Group, is now the world's third-richest man and will invest Rs 5.6 lakh crore in green energy and infrastructure. Rival Mukesh Ambani's Reliance Industries has announced a mega rollout of the 5G network with an investment of Rs 2 lakh crore by the end of October and an additional Rs 6 lakh crore investment in green energy.

That big corporates are doing well was also borne out by numbers in the June quarter, defying rising interest rates and inflationary pressures. Their bounce-back from the pandemic complete, many of them have restored salaries to pre-pandemic levels or even given raises. India Inc. employees, per a survey of 500 large, medium and small companies across 13 major industry sectors by recruitment agency Michael Page India, got an average salary hike of about 9 per cent this year, against 7 per cent in 2019.

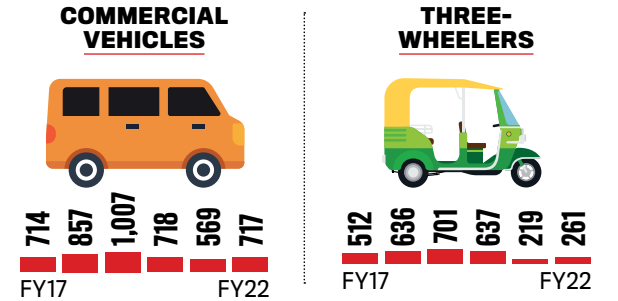
India's GST tax collections have also been robust, rising 28 per cent year-on-year to Rs 1.49 lakh crore in July, the second highest since the new tax regime was introduced in July 2017, on the back of

NO JOY RIDE

Two wheeler sales, a bellwether for the rural economy, fell in FY22. Passenger vehicles saw an 11% Y-o-Y rise in sales in July, but it was paradoxical, with high sales for higher-priced cars but low numbers for cheaper ones



Commercial vehicle sales saw 26% rise in FY22, backed by government's infra push and reopening of educational institutes and offices

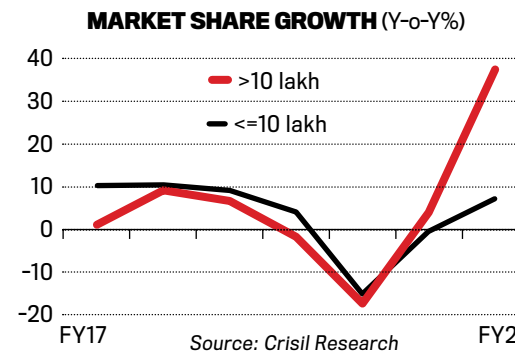


Source: SIAM



SMALL IS NO LONGER BEAUTIFUL

Among passenger vehicles, cars costing more than Rs 10 lakh have done better in terms of growth than the entry-level and affordable car segment



Source: Crisil Research